



ScaleUp Ventures 1 Sdn Bhd

Key Highlights - H1 2026 (1st January 2026 to 30th June 2026)

Partners

Dr. Sivapalan Vivekarajah (Senior Partner)

Ms. Renuka Sena (Senior Partner)

Mr. Aaron Sarma (General Partner)

Ms. Tay Shan Li (Managing Partner)

Mr. Andre Sequerah (Managing Partner)

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Contents

Page

A. Message from the Partners

2

B. Individual company Highlights

6-29

A. Message from the Partners

Dear Limited Partners,

This update provides key highlights for our portfolio companies for H1 2026.

Investor Statement of Account:

Please note that your Investor Statement of Account remains unchanged; the previously issued statement is still valid.

Portfolio Update

Global and local market conditions remain challenging and, rather than repeat the broader economic commentary from previous reports, I will focus this update on developments within the portfolio and our priorities for the remainder of 2026.

Despite the continued uncertainty, our portfolio companies have continued to make steady progress, although naturally at different rates depending on their respective markets, business models and strategic priorities. As a portfolio, the businesses remain resilient and continue to strengthen their operating fundamentals while executing the initiatives required to support long-term value creation and potential exit opportunities.

Fundraising activity across the portfolio remains selective. AOne continues to work towards closing the balance of its current funding round. BiiB remains pre-live on the pitchIN Equity Crowdfunding platform as management has prioritised growing revenue and expanding market reach ahead of launching the campaign. For the remainder of the portfolio, the focus has shifted from raising equity capital to strengthening commercial performance and strategic positioning. Agiliux continues to stabilise revenues, Batik Boutique is focused on the fit-out and launch of its new retail outlet, while TixCarte is working towards achieving the commercial milestones set by a potential acquirer.

As highlighted in our previous reports, exit planning remains one of the fund's highest priorities. We continue to work closely with each portfolio company to identify and prepare the most appropriate exit pathways based on their individual circumstances.

Progress has continued across several companies. IIMPACT remains in discussions to appoint M&A advisors to support its exit strategy, while Recqa has commenced

working with its appointed advisors to identify and engage potential acquirers. These processes require time and careful preparation as they represent important steps towards achieving successful exits for the fund.

While strategic trade sales remain our preferred exit pathway, we are also monitoring new liquidity mechanisms emerging within Malaysia's capital markets that may provide additional optionality for selected portfolio companies.

The first is the launch of the **pitchIN Secondary Trading Exchange (PSTX)**, a Securities Commission-licensed platform that enables shareholders of private companies to trade shares through a regulated secondary market. Although still in its early stages, with pitchIN selecting its inaugural cohort of companies, the platform represents an encouraging development for Malaysia's startup ecosystem.

Secondly, Bursa Malaysia has announced plans to broaden participation in the LEAP Market by allowing retail investors to trade LEAP-listed shares, which were previously restricted to sophisticated investors. In addition, Equity Crowdfunding platforms and registered Venture Capital funds are now permitted to act as Listing Managers, reducing listing costs and improving accessibility for growth-stage companies.

We are evaluating whether these developments may provide additional liquidity options for selected portfolio companies alongside traditional M&A exits. As these initiatives continue to evolve, it is premature to identify specific candidates, but we will continue monitoring their progress and keep investors updated.

In relation to ATX, the litigation process remains ongoing. As previously reported, Novatti continues to owe the former shareholders RM7,379,174.27. ScaleUp's proportionate entitlement, based on our 4% equity interest, is RM295,166.97. Legal proceedings, led by David Gurupatham & Koay on behalf of all former shareholders, continue and we will keep investors informed of any material developments.

Extension of Fund Life

As many of you are aware, SV1 was established as a seven-year fund, with the current term ending on 14 January 2027. Over the past year, our efforts have increasingly focused on preparing the portfolio for value realisation through a combination of strategic M&A discussions, exploration of emerging secondary market opportunities and company-specific exit strategies. While encouraging progress has been made



across several portfolio companies, we believe that additional time will allow us to maximise value for all investors rather than pursue exits within an artificial timeframe.

The Limited Partnership Agreement anticipates that circumstances such as these may arise. Accordingly, Schedule 2, Clause 10 provides for an extension of the fund term with the approval of at least 90% of the Limited Partners. As is common with venture capital funds, the timing of successful exits is driven by market conditions and buyer readiness rather than predetermined fund milestones. We intend to formally seek your approval during Q4 2026 and hope we can count on your continued support as we work towards achieving successful exits that maximise returns for the fund.

Individual Company Updates

Please find below the individual company reports for your kind attention. As always if you need any further information or clarification please call me or any one of the partners. We thank you for your continued support and patience while we work through our strategies towards getting successful exits for you, our investors.

Sincerely,

Dr. Sivapalan Vivekarajah

On Behalf of the Partners of ScaleUp Malaysia Accelerator

B. Key Highlights from Portfolio H1 2026



1. AOne Schools

Partner-in-charge: Aaron



H1 2026 Performance Summary

AOne closed the first five months of 2026 with reported revenue of RM833.8K, broadly flat (+0.3%) year-on-year against the same period last year (Jan–May 2025: RM830.97K).

These figures cover January–May only, as H1 2026 remains pending June data from the company, which had not yet closed. On the available history, June does not appear to be a seasonally strong month for AOne (June 2025 revenue of RM162.17K was in line with the monthly run-rate), so its inclusion is unlikely to shift the broadly flat year-on-year picture.

Beneath the flat headline, the revenue mix shifted:

- the core AOneSchools (SaaS) line softened by 5.7%,
- AOnePay (in-app payments) grew 39.3% to become the company's fastest-growing stream.

The company narrowed its losses, as the average monthly net loss improved to RM156.18K (Jan–May 2026) from RM182.04K a year earlier, and management reports net cash burn roughly halved to about RM100K per month from approx. RM196K in H2 2025, giving a runway of around 15 months against operating expenses of around RM300K per month (R&D and engineering the heaviest line, at RM70K). Cash-in-bank strengthened to RM895.25K at end-May (RM695.89K a year earlier) on fundraising proceeds.

Despite scaling back direct digital-marketing spend in favour of disciplined, sales-led growth, AOne sustained momentum in acquiring large education brands across Malaysia and Indonesia while developing strategic pipelines in the Philippines. This enterprise-focused approach continued to expand user adoption and Gross Transaction Volume (GTV) – reflected in strong operational growth in payments and engagement even as reported SaaS revenue consolidated – reinforcing its positioning as a leading SaaS platform for enrichment centres across the region. The team stands at 35, across

- Malaysia : 14 Headcounts,

- Indonesia : 16
- Thailand : 3
- the Philippines : 1
- India : 1

With product innovation aligned to regulatory trends such as e-invoicing and now AI-enabled features, alongside a robust fundraising pipeline underway (led by CyberAgent Capital), AOne is laying the foundation for sustainable scale, improved margins, and a pathway toward EBITDA positivity in the next operating cycle.

Revenue and Financial Metrics

AOne's year-on-year comparison is drawn between January–May 2025 and January–May 2026 (June 2026 data was not yet ready at the time of preparation and will be incorporated once available):

Revenue Captured by Sales Channels:

- **AOneSchools (SaaS)** : from RM717.70K (2025) to RM676.47K (2026), -5.7% YoY
- **AOnePay (in-App Payment)** : from RM112.98K (2025) to RM157.40K (2026), +39.3% YoY
- **Total Revenue** : from RM830.97K (2025) to RM833.88K (2026), +0.3% YoY

Note: the 2025 total includes RM300 of one-off "Other Revenue" (booked March 2025), which accounts for the small difference between the two channel lines and the reported total.

Comparison with H2 2025

H2 2025 was defined by the rebrand from "AOne Schools" to "AOne", the first close of its raise (USD500K from CyberAgent Capital), and net burn of roughly RM196K per month across four countries, with FY2025 revenue reported at RM1.64M (+21% YoY). H1 2026 advances that story on two fronts: capital efficiency and monetisation.

Burn nearly halved to RM100K per month, and the in-app payments business (now AOnePay) scaled sharply — in-app payment value nearly doubled year-on-year (+92%) and gross lesson fees processed rose 40%. On the actual monthly figures, however, reported revenue was broadly flat year-on-year across January–May 2026 even as payment value (+92%) and engagement metrics rose sharply — a divergence between headline revenue and operational momentum worth monitoring. The exit posture is unchanged — building optionality toward scale and break-even rather than a near-term sale.

Operating Metrics and Platform Engagement

The clearest signal in H1 2026 is that AOne is deepening usage within its existing customer base, not merely adding logos. Year-on-year:

- HQs grew 18% (1,190 → 1,399)
- while branches grew 31% (2,767 → 3,617),

indicating existing customers are opening additional branches. Payment adoption accelerated fastest:

- in-app payment transactions rose 74% (67K → 117K)
- in-app payment value rose 92% (RM25.2M → RM48.5M)
- gross lesson fees processed rose 40% (RM170.5M → RM237.9M)

Daily operational engagement also strengthened, with:

- attendance up 55% (1.99M → 3.08M)
- Most strikingly, student progress reports up 170% (355,595 → 961,008), evidence that centres are using AOne as an everyday parent-engagement platform rather than back-office software. These are strong fintech and stickiness indicators that materially reinforce the equity story.

Investment Update & Fundraising

AOne is raising a Pre-Series A of USD1.5M (roughly RM 6.0M), with the stated aim of reaching monthly EBITDA break-even 12–15 months after the raise. CyberAgent Capital has completed its initial **USD500K** tranche (reported in H2 2025); at the Q4 2025 exchange rate of roughly RM4.1 per US dollar — the ringgit having strengthened materially through 2025 — this equates to approximately **RM2.05M**. The balance is

being assembled from a mix of institutional, strategic and retail sources — a pitchIN equity-crowdfunding round (opening to retail investors and clients), MyCIF co-investment (RM 1.0M), Patrick Corso of TIME.com (RM 1.0M), and publisher Pelangi Berhad (RM1.0-2.0M). The prior round was struck at a USD5M pre-money valuation (23% of the company). The breadth of interest — spanning a strategic media name and an established education publisher — is encouraging, though several tickets remain to be closed.

Product Development

Product work in H1 2026 completed a mobile-app revamp and progressed in-app messaging, with an active roadmap covering customised transaction-fee rates, a QR attendance module, a new higher-scalability product, and — the strategic centrepiece — AI-enabled features. Two AI workflows are in design: an AI student-progress generator, in which teachers upload class photos and videos and the system drafts multilingual progress reports for teacher approval; and a WhatsApp payment-slip OCR that extracts payment details, matches them against outstanding invoices with a confidence score, and streamlines reconciliation. Both target the platform's most time-consuming manual workflows and reinforce the AOnePay and engagement flywheel. On acquisition, the near-term pipeline features two large franchise chains — My Art Studio (Malaysia, 100+ branches, around 10K students) and Ohayo Education Group (Indonesia, 300+ branches) — with primary market focus on Malaysia, the Philippines and Indonesia, and Thailand and Singapore secondary.

Exit Strategy and Outlook

Consistent with H2 2025, AOne is building strategic optionality rather than pursuing a defined near-term exit, with management's own readiness marker being annual revenue of roughly USD2m or break-even, at which point a strategic acquisition by an education, fintech or platform player becomes more actionable. H1 2026 moves the company closer to that threshold: sharply improved capital efficiency, a rapidly scaling payments business, and a maturing AI roadmap, funded by an in-progress Pre-A round. Near-term priorities are closing the remaining round tickets, converting the large-chain pipeline, and executing the AI features that underpin the B2C and AOnePay monetisation thesis. Actual H1 2026 financials will be confirmed on the June close.

2. Agiliux

Partner-in-charge: Doc Siva



H1 2026 Performance Summary

By the founder's own characterisation, H1 2026 was "not a great year for revenue, but a great year for progress." Group revenue (January–May) fell year-on-year, and the half was marked by a severe short-term cash-flow crisis — yet it also advanced two potentially transformational enterprise deals, Howden and Mitsui Japan, expected to close and begin billing in H2 2026. The shortfall had two causes: the large global deals took longer to close than hoped (no revenue yet), and three projects scheduled to go live in May were delayed by additional client requirements, pushing roughly RM500K of billings into H2. Only one new customer closed in the half — a Singapore broker at approximately RM400K.

Revenue and Financial Metrics

On the revenue sheet, total revenue for January–May fell 5.7% year-on-year RM 744.9K to RM 702.7K. The composition transformed completely — Singapore surged while Malaysia and India fell away.

Revenue Captured by Entity (Jan–May, MYR):

- **SG (Singapore):** from RM 79.87K (2025) to RM 680.26K (2026), +752% YoY — now around 96% of group revenue
- **SST (Malaysia — core Agiliux):** from RM 421.94K (2025) to RM 22.41K (2026), down 95% YoY (projects delayed into H2)
- **IND (India):** from RM 243.07K (2025) to RM 0 (2026), down 100% (legacy client discontinued mid-2025; Howden reintroduces India in H2)
- **Total:** from RM 744.9K to RM 702.7K, down 5.7% YoY

The concentration of recognised revenue in Singapore and the fall in Malaysia largely reflect where the delayed go-lives sat; management expects the RM500K of stuck billings plus the H2 pipeline to rebalance this. (June is pending.)

Comparison with H2 2025

In contrast with H2 2025, then, Agiliux reported reaching operational break-even (a small net profit), forecast profitability for 2026, and framed a mid-2026 choice between a growth raise and a trade sale. H1 2026 is a harder story: a cash crunch severe enough to delay staff salaries and MDV loan repayments, profitability pushed to 2027, and the capital plan resolved firmly toward a growth fundraise rather than an exit. What has improved is pipeline quality — Howden and Mitsui are far larger and more strategic than anything in H2 2025 — but their revenue is an H2-2026-and-beyond story, leaving the intervening period very tight.

FY2025 Management Accounts

The Singapore entity (Soft Solvers Pte Ltd, SGD) recorded revenue of S\$ 236.3K, a marginal net profit of S\$ 1.3K, but negative equity of -S\$ 56.4K and thin cash (S\$ 17.6K). Management characterises the 2025 operating group as at or near break-even across entities. A complete FY2025 group view requires the SST (Malaysia) and India accounts plus the Singapore holding company's consolidation — none of which were provided — and the statutory figures do not tie to the revenue sheet; both gaps will be reconciled in 2H2026.

Business Development and Pipeline

The half's defining progress was on two marquee deals. Howden — a top-tier global broker (now ranked #8 worldwide) courted for around 1.5 years — is expected to close in October with a November kickoff, and would be transformational: roughly US\$3M of revenue over three years, an eventual ARR of US\$ 900K – 1M across nine implementations in six or seven Asian countries, reintroducing India (380 users, ~US\$200K/year). Mitsui Japan, the first Japanese client (~US\$200K over six months), is expected to close in August with a September start and would open the Japanese broker market. A second Singapore broker is also expected to close in September. Strategically, these anchor a repositioning toward serving global brokers across their entire Asian footprint — bundling multi-country regulatory compliance and systems support — a higher-value niche than the in-country brokers Agiliux previously targeted.

Cash Flow, Debt and the Planned Fundraise

Monthly group operating expenses run around RM 140K, and with revenue stalled due to delays the company spent roughly two months unable to fully pay salaries, with MDV loan and vendor payments also deferred (management is in dialogue with both,

planning partial payment in August and the balance in September). One junior staff member has resigned. Management is deliberately avoiding new debt, relying instead on approximately RM500K of imminent project collections to stabilise from August. On the front foot, the founder plans to open a new equity round from mid-August, approaching 10–15 Asian investors to fund AI-focused complementary products and services – the intended "moat" as core software commoditises. A pitch deck and business plan are in preparation; the raise is contingent on first closing Howden.

Exit Strategy and Outlook

The exit thesis from H2 2025 has effectively been deferred: the near-term path is a growth raise, not a sale, with 2026 a transitional year (management expects only a small full-year profit) and 2027 targeted for stable group-level profitability as Howden and Mitsui revenues flow. The investment case now hinges on execution over the next two quarters – converting the ~RM500K of delayed billings, closing Howden (October) and Mitsui (August), and steadying the balance sheet – against a materially stronger, if longer-dated, pipeline. ScaleUp will track the cash position closely through H2.

3. BiiB

Partner-in-charge: Xelia



H1 2026 Performance Summary

BiiB reported a stronger first half of 2026 than the second half of 2025, helped both by its usual first-half seasonality and, more importantly, by a deliberate move up the value chain. Having historically been used mainly for event registration – a commoditised, low-margin service – BiiB has leveraged the trust built with race organisers over the years to cross-sell higher-value products:

- timing and result production,
- e-certificate generation,
- and a range of peripheral services for events.

This shift is lifting both revenue per event and software sales, and underpins the company's regional push within Malaysia. The defining development of the half was a landmark partnership with Alliance Bank; alongside it, BiiB advanced a Parliament-linked national campaign, expanded aggressively in Sarawak, doubled its timing-equipment capacity, and continued to build its corporate and flagship-event base.

Comparison with H2 2025

H2 2025 was financially soft but strategically productive. While the interim report previously indicated FY2025 revenue of RM 1.24M (with a net loss of RM 283.7K), finalized management accounts have since revised these figures to RM 1.48M in revenue and a net loss of RM 213K. H1 2026 builds on this stronger base and, on management's account, outperformed H2 2025 – driven by the shift up the value chain into timing and results and, above all, the first-in-Southeast-Asia Alliance Bank "run-and-earn" partnership, a markedly higher-profile win than anything in the prior half. The government relationship deepened from H2 2025's ministerial MOUs into a concrete Parliament 222-MP campaign, and the equity-crowdfunding round being prepared in H2 2025 remains pre-live on pitchIN. H1 2026 financial figures are to be confirmed before a clean half-on-half revenue comparison can be drawn.

FY2025 Management Accounts

BiiB's finalized FY2025 management accounts record total revenue of RM 1.48M and gross profit of RM 701K (approx. 47% gross margin), with a net loss of approximately RM 213K. These finalized figures show improved performance compared to the preliminary estimates previously reported in the H2 2025 update (RM 1.24M revenue and RM 283.7K loss), with actual revenue being materially higher and the loss significantly smaller.

The balance sheet nonetheless points to a stretched position: cash at bank was only about RM21K at year-end (plus approx. RM37K of deposits) against negative shareholders' equity of -RM887K, with operations sustained by roughly RM321K of director loans and RM600K of long-term debt.. The net loss implies an accounting burn of around RM18K per month which leaves a negligible runway from internal resources, underscoring the importance of the equity-crowdfunding round and the new Alliance Bank and Parliament revenue streams.

Business Expansion

The strategic centre of gravity in H1 2026 was BiiB's timing-and-results business. By bundling timing systems with registration, certificates and engagement tools, BiiB now signs organisers for their full event calendars rather than one-off registrations. The company is expanding hardest in Sarawak, where it is targeting roughly 70% market share by year-end and is already servicing major half-marathons in the state, and it has agreed a partnership with one of Sarawak's largest conglomerates to provide end-to-end event services for its marathon.

To meet this demand, BiiB struck a new equipment deal with Race Tiger, a top-three Chinese timing-equipment supplier, for four additional sets on a six-month instalment plan. Structured for cash-flow efficiency, the arrangement lets BiiB pay for the four sets it already operates while receiving four more to run — effectively doubling operational capacity from four to eight sets without a large upfront outlay. Race Tiger looks set to become a long-term supply partner.

Alliance Bank "Run-and-Earn" Partnership

The flagship achievement of this first half is a partnership with Alliance Bank, pitched from late 2025, confirmed in Q2 2026 and publicly announced in early July. Billed as a first in Southeast Asia, the "run-and-earn" programme rewards savers with bonus

interest for meeting monthly running missions — a deliberately non-crypto reinterpretation of the "run-to-earn" concept, rewarding consistency among existing runners rather than encouraging running purely for money. Bonus interest, credited as a lump sum after the campaign, applies to balances up to RM300,000 at a rate above 4% (ahead of typical fixed-deposit rates). The three-month campaign launches in mid-July with an initial cap of 4,200 participants to create urgency, which may be raised if demand is strong. BiiB's system provides the tracking and reporting the bank uses to credit rewards; the two are kept separate rather than integrated into the bank's app.

Commercially, BiiB charges Alliance Bank for the service while participants join free, positioning the bank as a marketing engine: Alliance Bank funds the advertising, PR and content-creator spend, using BiiB as a deposit-gathering campaign. The visibility benefit has already been significant, with BiiB's social engagement rising sharply (individual posts reaching 100,000–300,000 views) ahead of the bank's own launch. Beyond direct fees, the partnership is a major credibility and brand catalyst, conducted at Alliance Bank's C-suite and VP level, with BiiB acting as the core project owner from concept through execution.

Events, Government and Corporate Clients

BiiB's flagship Run Liga Malaysia returns in August, already at around 5,000 registrations against a 10,000 target, with registrations typically surging 30–40% in the final days. A notable new opportunity is an upcoming collaboration with Parliament Malaysia — a "parliament edition" of Run Liga involving all 222 Members of Parliament leading their constituencies through BiiB's system, announced via a press conference at Parliament and slated for the second half. The opportunity flowed directly from BiiB's earlier MTDC-grant work with the Prime Minister's Department, underscoring the compounding value of its government relationships.

The corporate base remained stable and repeat-driven. Recurring clients such as Generali (whose internal challenge formed part of a global charity programme run through BiiB's Malaysia chapter), Telekom Malaysia and TechnipFMC continued to engage, alongside new healthcare and oil-and-gas organisations and a growing tail of companies that self-serve on the platform without direct sales contact. BiiB also added a collaboration with Spritzer to support its run-club community. Team headcount was unchanged, and the product saw incremental rather than major enhancements, with management deliberately conserving cash.

International Expansion & Investment

Regional expansion centres on a licensing proposal for Indonesia – under which a local partner would run Run Liga in-country against a support-and-licensing fee – which is on the table but paused pending a face-to-face negotiation and, notably, weighed down by rupiah depreciation against the US dollar, in which BiiB prices.

On funding, BiiB's equity-crowdfunding (ECF) round remains pre-live on pitchIN amid a slow market, though management expects the Alliance Bank and Parliament announcements to strengthen investor interest. ScaleUp encouraged the team to approach Alliance Bank directly as a potential financial backer given the existing relationship; management sees this as possible but bank-led, contingent on demonstrating strong live results once the August campaign is underway.

Separately, the founder attended the Plug and Play summit in Silicon Valley in late May 2026, which prompted a useful recalibration of fundraising strategy – recognising that the Silicon Valley model translates poorly to the Malaysian market and that investor targeting and valuation expectations need to be managed accordingly, particularly for a non-AI business.

Exit Strategy and Outlook

Consistent with the H2 2025 update, BiiB's exit remains oriented toward a secondary sale, with pitchIN as a potential avenue through its secondary trading platform PSTX , on a 12–18 month horizon; the exit itself was not re-discussed in detail this period. Strategically, however, H1 2026 has materially strengthened the equity story – a first-in-region bank partnership, a national Parliament campaign, deeper Sarawak penetration, and doubled operating capacity. Near-term priorities are executing the Alliance Bank campaign from August, converting Run Liga and Parliament momentum into revenue and visibility, and translating the raised profile into a successful ECF close. Confirmation of the first half's financial results remains outstanding.

4. Batik Boutique



Partner-in-charge: Renuka Sena

H1 2026 Performance Summary

Following a year of significant investment in production capability and retail expansion, Batik Boutique entered H1 2026 focused on converting these strategic investments into sustainable commercial growth.

The first half of 2026 demonstrated encouraging progress, with the business moving from a period of capability building into a phase of stronger execution and value creation. Revenue momentum strengthened across its key business segments, particularly within the corporate and institutional channel, while the retail network continued to mature as an important foundation for long-term brand growth and recurring revenue generation.

The operational investments made over the past eighteen months – particularly the Production House and expanded retail footprint – have strengthened Batik Boutique's ability to serve larger customers, improve production control and build a more scalable business model. At the same time, the company continues to maintain its social enterprise positioning by expanding artisan capability alongside commercial growth.

While the timing of larger corporate orders continues to create some monthly revenue variability, H1 2026 reflects positive progress towards Batik Boutique's broader objective of becoming a premium Malaysian lifestyle brand with stronger commercial fundamentals and increased enterprise value.

Financial Performance

The investments made during 2025 are beginning to translate into stronger financial performance during H1 2026. Revenue for the first half increased to RM2.69 million, representing 27.1% growth over H1 2025 (RM2.11 million).

Importantly, profitability improved alongside revenue growth. Gross Profit for H1 2026 was RM1.88 million, representing a gross margin of 69.9%. Net Profit for H1 2026 was RM565,000, compared with a Net Loss of RM158,000 during H1 2025, representing an improvement of more than RM720,000. These figures relate solely to the first six

months of 2026 and demonstrate that the operational investments made during 2025 are now generating meaningful operating leverage.

Revenue growth was diversified across all major business segments.

Revenue Segment	H1 2026	H1 2025	Growth
B2B Corporate & Institutional	RM1.24M	RM790.7K	+56.4%
Retail Stores	RM1.13M	RM1.08M	+5.1%
Ecommerce	RM314.5K	RM242.7K	+29.6%
Total Revenue	RM2.69M	RM2.11M	+27.1%

The strongest contributor remained the corporate and institutional segment, reflecting Batik Boutique's continued success in securing larger government and corporate contracts. Retail sales continued to provide a stable recurring revenue base, while ecommerce returned to growth following improvements to digital marketing execution.

While the business continues to experience quarterly fluctuations associated with the timing of large B2B contracts, management continues to broaden its corporate customer base and improve sales conversion to create a more balanced revenue profile.

Retail Performance

Expanding Batik Boutique's owned retail network remains a key component of the company's long-term value creation strategy. While the B2B channel continues to provide meaningful revenue growth, management believes that increasing the number of strategically located retail outlets strengthens brand visibility, diversifies revenue streams and provides a more predictable recurring revenue base over time.

Rather than comparing retail performance against the corresponding period in the previous year, we believe a more meaningful measure is each outlet's progress towards exceeding its total revenue contribution for the whole of FY2025. Achieving on average 50% of the previous year's revenue by the midpoint of the year provides an early indication that all outlets are on track to outperform its prior year's performance.

Retail Performance by Outlet:

Retail Outlet	FY2025 Revenue	H1 2026 Revenue	% of FY2025 Achieved	H2 Outlook
Mont Kiara	RM649K	RM310K	47.77%	On track to exceed FY2025*
The Row	RM668K	RM373K	55.84%	On track to exceed FY2025
IOI City Mall	RM558K	RM331K	59.32%	On track to exceed FY2025
Westin Desaru	RM292K	RM120K	41.10%	To be confirmed
Total Retail	RM2.17M	RM1.13M	52.30%	

*Subject to continued sales momentum.

The table above provides an indication of retail performance. This gives us a basis to assess whether each retail asset is increasing its annual revenue contribution and whether the broader retail expansion strategy is beginning to generate the expected commercial returns. As part of our ongoing portfolio monitoring, we will continue working with management to evaluate each outlet not only on revenue growth but also on its path towards operating profitability and cash generation. Over time, this will provide a clearer view of the return on capital invested in each location and inform future retail expansion decisions.

Customer Growth and Commercial Development

The corporate segment continues to strengthen as Batik Boutique expands relationships with larger institutional and government customers. During H1 2026, the company secured projects from organisations including LKPP Corp S/B, MDEC, EXIM Bank, Alliance Bank, AmBank, Baker Hughes and Sing Tat, while also renewing its partnership with Hyatt Regency.

Importantly, management has continued diversifying the customer portfolio rather than relying on a small number of repeat clients. This broadening of the corporate pipeline improves revenue resilience while strengthening Batik Boutique's position within the premium corporate gifting and custom merchandise market.

Beyond product sales, management is also developing workshops and experiential programmes as an additional revenue stream. Demand increased during the second quarter, including several large international workshop bookings involving hundreds of participants. This complements Batik Boutique's existing brand positioning while introducing a higher-margin service offering that deepens corporate engagement beyond transactional sales.

Operations and Organisational Development

The operational focus during H1 2026 shifted from expanding capacity to improving efficiency, quality and productivity. The Production House continued to mature following its launch in 2025. Internal capability in cold wax batik production has significantly increased manufacturing efficiency while reducing reliance on outsourced production. This provides better quality control, shorter production lead times and improved margin potential as production volumes increase.

Quality metrics remained consistently strong throughout the period, with textile rejection rates effectively maintained at zero and sewing defects remaining below one percent. Inventory management also improved through better production planning and reduced internal stock transfers. Management continued strengthening organisational capability through several key appointments, including Operations and Design leadership, while also introducing AI-enabled tools within finance and digital marketing functions to improve productivity.

One operational challenge identified during the half was staffing continuity within production. While current production requirements continue to be met, retaining skilled personnel will remain important as manufacturing volumes continue to increase.

Scaleup Value Creation and Exit Strategy

The primary focus during H1 2026 was securing growth capital to support the launch of Batik Boutique's newest planned outlet at Merdeka 118. We believe this location represents an important strategic milestone, not only as an additional retail channel but

as a catalyst for strengthening brand visibility, increasing consumer awareness and reinforcing Batik Boutique's positioning as a premium Malaysian lifestyle and social enterprise brand.

Management's longer-term funding strategy centres on the MyCreative Ventures Social Enterprise Fund, which provides Growth Stage financing of up to RM1 million for established social enterprises through a blended funding structure comprising 80% revenue-sharing financing and 20% grant funding. The original application sought the maximum RM1 million to support the Merdeka 118 expansion. Based on recent discussions with MyCreative, management now expects the approved funding quantum to be in the region of RM700,000 to RM800,000, with approval and disbursement anticipated during Q4 2026. While this represents a lower amount than initially requested, management believes it will provide sufficient capital to support the current expansion plans.

Renovation works for the Merdeka 118 outlet commenced using internally generated funds, with a portion of the costs already funded from profits generated during 2025. The remaining funding requirement of approximately RM400,000 was primarily a cash flow timing consideration to enable completion of the fit-out in time for the planned August launch, coinciding with the Merdeka celebrations and the mall's promotional activities. Recognising that the MyCreative approval process may extend beyond the construction timeline, management sought and received Board approval for a RM400,000 short-term bridging loan. Importantly, this facility was intended to bridge the timing gap between project expenditure and funding disbursement rather than address an underlying funding shortfall. Based on the company's improving profitability and healthy order book during H1 2026, management expects the bridge facility to be serviceable through operating cash flows should the MyCreative funding be delayed further or approved at a lower quantum.

Scaleup continues to work closely with management throughout this process by providing strategic guidance on capital planning, funding options and the broader value creation strategy. Our immediate priority is demonstrating a clear correlation between investment in new retail outlets and improved commercial performance. As each outlet matures, we will continue monitoring its progression towards revenue growth, operational sustainability and profitability, providing an evidence-based framework for future expansion decisions.

This operating model also creates multiple long-term capital and exit pathways. As the retail network demonstrates a repeatable funding-to-performance cycle, the company may be well positioned to access growth capital through future Equity Crowdfunding (ECF) campaigns on a store-by-store basis, allowing investors to participate in the expansion of individual retail locations. Alternatively, demonstrating a scalable and profitable retail model across a larger network of outlets would strengthen the company's attractiveness to growth-stage institutional or private equity investors seeking established consumer brands with proven expansion economics.

For Scaleup, our exit strategy continues to prioritise maximising enterprise value rather than pursuing early liquidity. Our focus remains on helping management establish a repeatable and commercially sustainable growth model that expands the retail network, strengthens brand equity and continues driving higher-margin B2B and ecommerce sales. As this strategy matures, we believe the company will be in a stronger position to evaluate the most appropriate capital raising and shareholder liquidity options available.

Outlook for H2 2026

The priority for H2 2026 is execution. With funding initiatives substantially progressed, management's focus will shift towards successfully launching the Merdeka 118 flagship outlet and demonstrating that each retail location can achieve commercial sustainability within an acceptable timeframe.

Particular emphasis will be placed on monitoring outlet-level performance against revenue, break-even and profitability milestones. Establishing a consistent and repeatable relationship between capital invested, retail sales growth and operating performance will be fundamental to supporting future expansion and validating Batik Boutique's long-term growth strategy.

Beyond direct retail sales, a stronger retail presence is expected to increase overall brand visibility, supporting ecommerce as an accessible sales channel for both domestic and international customers while further strengthening the company's premium positioning among corporate and institutional buyers. As the B2B segment continues to generate the strongest revenue and margin contribution, continued investment in brand visibility is expected to support growth across all three commercial channels.

5. IIMPACT

IIMPACT

Partner-in-charge: Shan Li

H1 2026 Performance Summary

Payment volumes recovered through the half. IIMPACT started the year processing 32% less than a year earlier, but grew every month from February and crossed back above last year's level in April. May (\$17.3M, +14% vs May 2025) and June (\$17.3M, +13%) were both ahead of last year.

Revenue has not caught up yet. Revenue for Jan–May was \$421k, down 21% on the same period last year. The recovery came from low-margin bill payments, so IIMPACT earned less on each dollar processed.

Losses are shrinking steadily. The monthly EBITDA loss narrowed from -\$29.7k in March to -\$14.6k in May. The company is moving toward breakeven, but is not there yet.

Breakeven is now in sight. The Shopee and Touch 'n Go partnerships go live in August 2026 and are expected to add RM150k–200k (≈US\$36k–48k) per month in recurring gross profit — several times the current monthly EBITDA loss. On these projections, IIMPACT turns profitable from August.

The pipeline is aimed at fixing the margin problem. New opportunities — bill presentment with major billers, Malaysia Airlines Enrich, CommercePay / KK Mart, Commerce.Asia, and a Mastercard deal signed in July — all carry higher margins than today's core business.

The numbers

Month by month:

Month	Total TTV	B2B TTV	B2C TTV	Revenue	Gross Margin	EBITDA
Jan-26	\$15.93M	\$12.40M	\$3.64M	\$88.87k*	—	-\$16.06k

*

Feb-26	\$14.26M	\$10.95M	\$3.39M	\$75.25k	60%	-\$24.97k
Mar-26	\$16.00M	\$12.35M	\$3.64M	\$77.34k	54%	-\$29.75k
Apr-26	\$16.58M	\$12.73M	\$3.85M	\$88.46k	63%	-\$17.58k
May-26	\$17.34M	\$13.05M	\$4.29M	\$89.05k	63%	-\$14.58k
Jun-26	<i>pending</i>					

Compared with the same period last year:

	Jan–May 2025 <i>(same period last year)</i>	Jan–May 2026	Change
Payments processed (TTV)	\$95.3M	\$80.1M	-16%
Revenue	\$531k	\$421k	-21%
EBITDA (total for period)	-\$100k	-\$102k	<i>Similar loss on a smaller cost base</i>

What the numbers tell us:

- IIMMPACT earns less on each dollar processed. For every \$100 of payments processed, IIMMPACT earned about \$0.63 in 2025 but only \$0.53 in H1 2026, because the mix shifted toward high-volume, low-margin bill payments. This is why revenue fell faster (-21%) than volume (-16%) year on year.
- Margins already show early recovery. Gross margin bottomed at 54% in March and recovered to 63% in April and May.
- Costs are under control. Operating costs are steady at roughly \$70k per month, down from over \$100k a month in the same period last year. Because costs are flat, every dollar of revenue recovery flows straight into a smaller loss – which is why the EBITDA loss halved between March and May.
- The fix is product mix, not more volume. Transaction counts actually dipped slightly in April and May even as value grew. Management's clear priority is shifting revenue toward higher-margin products: bill presentment and direct integrations with large billers.

Partnerships and pipeline

The most important commercial developments of the period:

Partner / opportunity	What it is, in plain terms	Status	Why it matters
Shopee & Touch 'n Go – go-live August 2026	Shopee will offer JomPAY bill payments on its platform, and Touch 'n Go eWallet will carry IIMMPACT's mobile top-up and internet data products – two of Malaysia's biggest consumer platforms.	Signed; both expected live in August 2026	Expected to add RM150k–200k (≈US\$36k–48k) per month in recurring gross profit – enough on its own to take IIMMPACT past breakeven
Major Malaysian billers – bill presentment & debt recovery	Show customers their unpaid bills inside e-wallets and banking apps, and help large billers (utilities, telcos) collect overdue debt. Supported by a partnership with CTOS, Malaysia's leading credit-reporting agency.	Moved from commercial interest to technical scoping (Mar 2026)	Management estimates ~10x higher margin than standard bill payments
Malaysia Airlines – Enrich	Enrich members use their miles/points to pay bills inside the Malaysia Airlines app.	Agreement under review; go-live targeted for 2026	Access to a large, active loyalty member base
CommercePay / KK Mart	Offer IIMMPACT's services – bill payments, PTPTN and government payments, gift cards, gaming credits, eSIM – across the	Discussions progressed in May 2026	A large new distribution channel into retail and SME customers

	CommercePay and KK Mart retail ecosystem.		
Commerce.Asia	One single API connection giving Commerce.Asia's merchants bill payments, gift cards, gaming, eSIM and loyalty products.	In discussion	Widens the business beyond bill payments
Mastercard (signed July 2026) after this reporting period)	An IIMMPACT Mastercard programme. IIMMPACT earns 0.6% on every transaction spent using the card.	Signed	A new, recurring revenue stream at attractive margins

One pattern worth noting: larger partners now ask for compliance detail (sanctions screening, transaction monitoring, licensing) early in negotiations. This is a sign IIMMPACT is selling to serious enterprise clients – but it also makes deals slower to close.

Product

From “payment pipe” to “workflow layer”. The core product push is a richer bill-presentment layer (“JomPAY 2.0”): looking up a customer's account, showing outstanding balances, clear transaction status, refund handling and reporting for billers. This gives banks, wallets and billers a much stronger reason to integrate – and to stay.

One API, more products. The same API now extends into gift cards, gaming, eSIM and loyalty, widening what each partner conversation can cover.

Faster onboarding. A new self-serve onboarding flow went live – partners can now complete NDAs and service agreements directly on the dashboard, with first usage already recorded.

Exit Strategy and Outlook

Exit: IIMMPACT remains in discussions to appoint M&A advisors to support its exit strategy. They will be in a better position to consider exits once they hit the next milestone and higher margins towards the end of 2026.

Nearest milestone – profitability in August. With the Shopee and Touch 'n Go go-lives expected to add RM150k–200k per month in recurring gross profit against a monthly



EBITDA loss of only ~US\$15k, IIMPACT is expected to be profitable from August 2026 onward.

The bigger prize for H2 2026: converting the rest of the higher-margin pipeline — bill presentment, direct biller integrations, Mastercard, and the new distribution channels — into live revenue. That would close the gap between growing volumes and lagging revenue and make the profitability sustainable, not dependent on any single partner.

6. Tixcarte



Partner-in-charge: Doc Siva

H1 2026 Performance Summary

Tixcarte continued to concentrate on EasyTix, its SaaS platform for attractions and activity merchants, which is now unambiguously the company's primary focus and growth engine. EasyTix generates approximately RM25K per month in subscription revenue from 17 active merchants (some still within trial periods), up from 14 paying merchants at end-2025. The strategic thrust of the half was a decisive tilt away from the low-margin legacy ticketing business toward high-margin recurring software: management projects EasyTix gross margins of 80–85% once onboarding stabilises, against the approx. 6.5% gross margin of the ticketing operation. Operating expenses are lean at roughly RM18K-20K per month — broadly covered by EasyTix subscription revenue — leaving the company close to operational break-even, with a legacy MDV loan (due to be repaid by October 2026) the main remaining drag on cash.

Comparison with H2 2025

H2 2025 established EasyTix as a disciplined, scaling platform with 14 paid merchants and a pricing band of RM1,000–2,500 per month, set against a structural retreat from margin-compressed ticketing. H1 2026 deepened that transition: the merchant base grew to 17, pricing evolved toward customisation by venue size which can be up to RM 3.5K, and management crystallised a high-margin 80-85%. The ticketing business is being deliberately de-risked, with pre-buying of inventory wound back, and is expected to close at roughly RM6–7M GMV on approx 6.5% gross margin.

FY2025 Management Accounts

Tixcarte's FY2025 accounts span two entities: **Tixcarte Group Sdn Bhd** (the B2B/EasyTix holding company) and its subsidiary **Tripkarte Sdn Bhd** (the B2C ticketing business). Combined, the group generated revenue of roughly RM3.75M in 2025 — almost entirely from B2C ticketing (Tripkarte trading income of RM3.72M) at a very thin 3.6% gross margin, versus the nascent B2B arm (Tixcarte Group revenue of just RM35K, but at an 85.8% gross margin).

The group was loss-making on an accounting basis – a combined net loss of about RM355K, driven entirely by Tripcarte, while the EasyTix entity was marginally profitable at RM6K. On a cash basis, however, the group ran close to operating break-even, at a combined operating cash flow of roughly net outflow RM27K for the year, materially better than the accounting loss suggests and consistent with management's near break-even characterisation.

The balance sheet is thin: combined year-end cash of only RM73K, an RM787K MDV revolving-credit facility and RM183K of director loans, the internal runway is therefore limited and dependent on the MDV facility (due to conclude in October 2026) and on scaling the high-margin EasyTix business, whose roughly RM25K monthly H1 2026 run-rate already dwarfs its RM35K full-year 2025 base.

Product Development

EasyTix has matured into a stable, feature-complete platform, and management has shifted from building to selling. Features such as access-gate integration and LHDN e-invoicing have been rolled out in response to merchant demand; the company's approach is to pipeline requested features, build them where there is sufficient interest, and charge incremental fees on top of the base subscription, alongside one-time setup or ad-hoc development fees of RM2K-3K. Pricing has proven harder to standardise than anticipated: venue size and complexity vary widely, so per-merchant pricing is frequently negotiated in-meeting and can reach RM3.5K per venue per month. The most significant operational constraint remains the time required to map each merchant's operational workflows during onboarding – the principal gating factor on the pace of scaling. Once merchants are live, cost-to-serve is low (mainly hosting and API credits), underpinning the projected 80–85% gross margins.

Revenue Strategy & Expansion

Management framed its growth around three pillars: increasing revenue, reducing revenue leakages, and lowering operational workloads. On revenue, a notable initiative is encouraging merchants to use EasyTix's APIs to connect with partners such as Touch 'n Go, with a plan to eventually charge a 5–10% commission on merchant sales above an annual baseline of RM300K, a usage-based layer on top of subscriptions that would align Tixcarte's upside with merchant growth. In parallel, the legacy ticketing business is being scaled back where it carries inventory risk: the 1–2% margin advantage from pre-buying inventory no longer justifies the exposure, particularly given



voucher-verification disputes with attractions. The result is a cleaner, more capital-efficient revenue mix weighted toward recurring software.

Financials, Operations, Exit and Outlook

On exit, the H2 2025 interest from a listed Bursa Malaysia PLC — conditional on the company guaranteeing RM1M in profit — continues to frame the medium-term objective. The shift to a high-margin EasyTix revenue base and the wind-down of low-margin ticketing are the clearest levers toward that profitability threshold. Based on net margins of 80-85%, the founders have intimated needing about 50 - 60 clients to hit a RM1M profit target. They have 17 clients (churn is so far zero as it is a very sticky product) and need 33 more, which as they scale their outreach is achievable in 12 months. Assuming a churn rate of 10%, by our assessment, they will likely need 55-60 clients.

Near-term priorities are converting the lead pipeline, stabilising EasyTix pricing and margins, and evaluating the payment-rails opportunity. ScaleUp will reconvene with the founder every 2 months to ensure the target of RM1M in profit is consistently being pursued.

7. RECQA



Partner-in-charge: Renuka Sena

H1 2026 Performance Summary

H1 2026 represents an important milestone for RECQA as the company moved beyond strategic repositioning into execution. The transition away from its legacy SaaS business is now largely complete, with management fully focused on growing its AI training business while validating RECQA Circle as a complementary platform. Rather than continuing to redefine the business model, the emphasis has shifted towards demonstrating commercial traction and creating a credible pathway to shareholder liquidity.

This evolution reflects the objectives established over the past eighteen months. Having successfully stabilised the business through a profitable, training-led operating model, management is now focused on building sufficient strategic value to support an acquisition opportunity, while maintaining the financial discipline that has allowed the company to remain self-funded throughout the transition.

Financial Performance

Although total revenue declined year-on-year following the planned discontinuation of the legacy SaaS platform, the underlying quality of revenue continued to improve. Training revenue grew from RM86.6K in H1 2025 to RM96.5K in H1 2026, an increase of 11.4%, and now represents 100% of the company's operating income.

Gross profit increased by 24.1% to RM81.4K despite lower overall revenue, demonstrating improved delivery efficiency and validating management's decision to focus on higher-value AI training rather than pursuing a highly competitive SaaS subscription model.

The business continues to operate with a disciplined cost structure. The founders draw minimal remuneration, product development is managed by a small team, and the company remains self-funded through operating cash flow without the need for additional external capital.

RECQA Circle: Building a Scalable Platform

One of the key milestones during H1 2026 was the launch of RECQA Circle into live testing. Building on the strategic pivot announced in H2 2025, the platform enables trainers, educators and content creators to build private or public learning communities, manage members and monetise premium content through subscription-based access.

Management has adopted a disciplined rollout strategy by first deploying the platform within its own training ecosystem before expanding to external customers. This approach provides real-world product validation while keeping customer acquisition costs low and allowing rapid product refinement based on user feedback.

While still at an early stage, RECQA Circle represents an important second value driver alongside the company's training business. Training continues to provide stable cash flow, while the platform offers the scalability and strategic asset that could materially strengthen future acquisition interest.

Progress Since H2 2025

Compared with H2 2025, RECQA's overall strategic direction has remained consistent, but execution has advanced significantly. The previous reporting period focused on defining the creator-economy strategy and building RECQA Circle. During H1 2026, the platform entered live testing while management accelerated discussions with potential acquirers, bringing forward the company's exit strategy.

The strategic transition away from the legacy SaaS business can now be considered substantially complete. Rather than managing two business models in parallel, management is now focused on growing a complementary combination of AI training services and a scalable community platform.

Acquisition and Exit Strategy

The most significant development during H1 2026 has been the acceleration of management's exit activities. While management is actively engaging potential strategic acquirers with the support of a regional M&A adviser, this direction did not emerge during the current reporting period. It is the outcome of a structured transition plan that ScaleUp has been working through with the founders since H1 2025.

At that time, following the reassessment of RECQA's original SaaS strategy, ScaleUp

requested that management complete its business model transition by the end of 2025 and present a credible exit pathway for the Fund by the end of 2026. The subsequent pivot towards AI training and the development of RECQA Circle formed part of management's strategy to create a more attractive acquisition opportunity.

Importantly, ScaleUp's discussions with management have not centred on identifying specific acquirers or directing product strategy. Those responsibilities remain with the founders and their appointed M&A adviser, who are leading both the commercial strategy and buyer engagement process. Our role has been to ensure that a realistic and measurable exit pathway exists for the Fund, while providing strategic input where appropriate.

Should management be unable to deliver an acceptable third-party exit within the agreed timeframe, discussions from 2027 onwards will shift towards a founder-led management buy-out. This would involve agreeing an appropriate valuation and, if necessary, a structured payment arrangement that enables the founders to progressively acquire ScaleUp's shareholding over time. While a strategic acquisition remains the preferred outcome for all parties, establishing this alternative pathway provides the Fund with greater certainty around eventual liquidity.

ScaleUp will continue to maintain regular engagement with management throughout this process. While day-to-day commercial execution, buyer engagement and transaction management remain the responsibility of the founders and their appointed M&A adviser, we continue to provide strategic oversight to ensure the process remains aligned with the Fund's objective of achieving a successful and timely exit. This includes reviewing the company's evolving strategy, evaluating prospective buyers introduced through the adviser, providing an independent investor perspective on potential opportunities, and supporting management in assessing both valuation and strategic fit. Since the company has appointed an advisor, our role has shifted to supporting the team to orchestrate the best possible outcome for all shareholders, while ensuring the interests of the Fund and our LPs remain well represented throughout.

Outlook for H2 2026

RECQA enters the second half of 2026 with a clear set of priorities. The immediate focus is to demonstrate meaningful customer adoption of RECQA Circle through existing corporate clients, trainers and creator communities, while continuing to grow the profitable AI training business that funds ongoing operations.

The company is also expected to continue engaging strategic acquirers as product traction develops. The combination of a profitable training business, low operating burn and an emerging platform asset provides management with the flexibility to pursue the right strategic opportunity rather than a time-driven exit.

While RECQA remains relatively small in scale, management has successfully completed the strategic transition initiated eighteen months ago. The next phase of value creation will depend on converting RECQA Circle into a commercially validated platform while positioning the business for a successful strategic acquisition.

***** END OF REPORT *****

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